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Swimming in the Deep Sea

In the last week of December 1997, I moved into a rented space in Nariman Bhavan building at Nariman Point. The landlord was known to Monk, and the rent was quite modest for the first six months. In fact, it seemed too good to be true. There was a rider, though. After six months, I would have to pay the regular market rent.

Ideally, I would have preferred an office in the vicinity of Dalal Street so that I could hang around with friends after market hours. But Monk had suggested this place and I did not want to exploit his kindness. I hired a peon to manage the office, and was all set to take the plunge.

Sometime in February 1998, Harshad Mehta sent me feelers through one of his confidants. I was told that Harshad was planning a comeback and had zeroed in on BPL, Videocon and Sterlite as the vehicles for his second innings. Harshad's proximity to the promoters of these companies was by then common knowledge in market circles, and I was aware that he had already begun accumulating the stocks. The proposition made to me was simple: buy shares of these three companies according to Harshad's instructions. It was a pure broking transaction, but I would get a higher commission than the market rate of 50-75 basis points. Of course, a juicy commission and an assured volume of trades were not the main reason for brokers' eagerness to transact with Harshad; they were looking forward to bigger profits from front-running his trades.

I had heard stories that Harshad would sometimes delay payment to his brokers, both for margin payment to the stock exchanges and for the shares he would take delivery of. Surely, Harshad knew his brokers were making